

2.4 Making financial decisions

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Past-paper question bank for this topic

- **Total questions:** 25
- **Total marks:** 46
- **Sub-topics covered:** 2

By series:

- **Specimen SAMs:** 2 questions
- **June 2019:** 4 questions
- **Nov 2020:** 3 questions
- **Nov 2021:** 5 questions
- **June 2022:** 4 questions
- **June 2023:** 3 questions
- **June 2024:** 4 questions

2.4.1 Business calculations (18 questions)

Specimen SAMs · Paper 2 · Q2(c) · §A

Calculate

2 marks

Table 1 contains information about a business. Sales revenue: £300 000. Cost of sales: £210 000. Gross profit: £90 000.

Using the information in Table 1 calculate the gross profit margin. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $(£90\,000/£300\,000) \times 100$ (1). Answer: 30% (1). Award full marks for correct numerical answer without working. Do not award a mark for 30 if the correct unit (%) is not stated.

Figure 1 shows sales volumes for a business during the first three months of 2016: January 3000, February 5000, March 4000. The selling price of the product is £500.

Using the information in Figure 1, calculate the sales revenue of the business for the first three months of 2016. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $£500 \times (3000 + 5000 + 4000)$ (1). Answer: £6 000 000 (1). Award full marks for correct numerical answer without working.

Figure 1 shows the sales revenue of a business over three years. 2015: £750 000; 2016: £1 500 000; 2017: £825 000.

Using the information in Figure 1, calculate the percentage increase in sales revenue from 2015 to 2016. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $((£1\,500\,000 - £750\,000) / £750\,000) \times 100$ (1). Answer: 100% (1). Award full marks for correct numerical answer without working.

Mind Candy case study. Table 2 contains information about Mind Candy's performance in 2013. Sales revenue: £30 560 692; Gross profit: £22 190 385; Other operating expenses and interest: £25 044 332.

Using the information in Table 2, calculate Mind Candy's cost of sales. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $£30\,560\,692 - £22\,190\,385$ (1). Answer: £8 370 307 (1). Award full marks for correct numerical answer without working.

Table 1 contains financial information about the performance of a business. Sales revenue £625,000; Cost of sales £145,000; Other operating expenses and interest £200,000.

Using the information in Table 1, calculate the gross profit made by the business. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $£625,000 - £145,000$ (1). Answer: £480,000 (1). Award full marks for correct numerical answer without working.

In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products. Product X: £700,000; Product Y: £150,000; Product Z: £350,000.

Using the information in Figure 1, calculate, to 2 decimal places, the percentage of total sales revenue made by product X in 2018. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $(£700,000 \div (£700,000 + £150,000 + £350,000)) \times 100$ (1). Answer: 58.33% (1). Award full marks for correct numerical answer without working.

Table 1 contains financial information about a business. Sales revenue: £800 000, Cost of sales: £225 000, Gross profit: £575 000, Other operating expenses and interest: £200 000.

Using the information in Table 1, calculate the net profit of the business.

▼ Mark scheme

Substitution into correct formula: $£575\ 000 - £200\ 000$ (1). Answer: £375 000 (1). Award full marks for correct numerical answer without working.

Nov 2021 · Paper 2 · Q5(a) · \$B

Calculate 2 marks

Table 2 contains information about the price of a Tesla Model 3 car between 2017 and 2019. 2017: \$50 000, 2018: \$41 000, 2019: \$35 000.

Using the information in Table 2, calculate, the percentage reduction in the price of a Tesla Model 3 car between 2017 and 2019.

▼ Mark scheme

Substitution into correct formula: $((\$50\,000 - \$35\,000) / \$50\,000) \times 100$ (1). Answer: 30% or -30% (1). Award full marks for correct numerical answer without working.

Nov 2021 · Paper 2 · Q5(b) · \$B

Calculate 2 marks

Using the information in Table 2, calculate the average price of a Tesla Model 3 car over the three year period between 2017 and 2019.

▼ Mark scheme

Substitution into correct formula: $(\$50\,000 + \$41\,000 + \$35\,000) / 3$ (1). Answer: \$42 000 (1). Award full marks for correct numerical answer without working.

June 2022 · Paper 2 · Q2(c) · \$A

Calculate 2 marks

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £200,000; Cost of new machine: £200,000.

Using the information in Table 1, calculate the average rate of return.

▼ Mark scheme

Substitution into correct formula: $(£200\,000 \div £200\,000) \times 100$ (1). Answer: 100% (1). Award full marks for correct numerical answer without working.

June 2022 · Paper 2 · Q3(b) · \$A

Calculate 2 marks

Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020. Barnsley £10,000; Doncaster £70,000; Rotherham £30,000; Sheffield £90,000.

Using the information in Figure 2, calculate the average sales revenue for this business in 2020. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $(£10\,000 + £70\,000 + £30\,000 + £90\,000) \div 4$ (1). Answer: £50 000 (1). Award full marks for correct numerical answer without working.

Table 2 contains information about Greggs' financial performance in 2018. Sales revenue: £1,029,347,000; Cost of sales: £373,487,000; Other operating expenses and interest: £573,292,000; Net profit: £82,568,000.

Using the information in Table 2, calculate Greggs' gross profit.

▼ Mark scheme

Substitution into correct formula: $\text{£1 029 347 000} - \text{£373 487 000}$ (1). Answer: £655 860 000 (1). Accept any answers and workings that do not include 000. Award full marks for correct numerical answer without working.

Using the information in Table 2, calculate to 2 decimal places, Greggs' net profit margin.

▼ Mark scheme

Substitution into correct formula: $(\text{£82 568 000} \div \text{£1 029 347 000}) \times 100$ (1). Answer: 8.02% (1). Award full marks for correct numerical answer without working.

Table 1 contains financial information about a business. Sales revenue: £900 000; Cost of sales: £325 000; Other operating expenses and interest: £175 000; Net profit: £400 000.

Using the information in Table 1, calculate to 2 decimal places, the net profit margin.

▼ Mark scheme

Substitution into correct formula: $(\text{£400 000} \div \text{£900 000}) \times 100$ (1). Answer: 44.44% (1). Award full marks for correct numerical answer without working.

Table 2 contains information about the price of an annual supermarket delivery pass in 2020. Asda: £55; Morrisons: £65; Ocado: £110; Sainsbury's: £60.

Using the information in Table 2, calculate the average price of an annual supermarket delivery pass.

▼ Mark scheme

Substitution into correct formula: $(\text{£55} + \text{£65} + \text{£110} + \text{£60}) \div 4$ (1). Answer: £72.50 (1). Award full marks for correct numerical answer without working.

Table 3 contains information about Ocado's financial performance in 2019. Cost of sales: £1 164.8 million; Gross profit: £591.8 million; Other operating expenses and interest: £916.9 million; Net profit: (£325.1 million).

Using the information in Table 3, calculate Ocado's sales revenue in 2019. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $\text{£1 164.8m} + \text{£591.8m}$ (1). Answer: £1 756.6 million (1). Award full marks for correct numerical answer without working.

Table 2 shows the price of items in an order placed by a customer at Popeyes. Chicken sandwich: £6.50; Chicken wings: £6.25; Original biscuit: £1.00; Mac and cheese: £3.50; Coca-Cola classic: £2.75.

Using the information in Table 2, calculate the average price of the items ordered by the customer.

▼ Mark scheme

Substitution into correct formula: $(\text{£6.50} + \text{£6.25} + \text{£1.00} + \text{£3.50} + \text{£2.75}) \div 5$ (1). Answer: £4 (1). Award full marks for correct numerical answer without working.

Using the information in Table 2, calculate, to 2 decimal places, the percentage of the total order spent on Chicken wings.

▼ Mark scheme

Substitution into correct formula: $\text{£6.25} \div (\text{£6.50} + \text{£6.25} + \text{£1.00} + \text{£3.50} + \text{£2.75}) \times 100$ (1). Answer: 31.25% (1). Award full marks for correct numerical answer without working.

2.4.2 Understanding business performance (7 questions)

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £100 000; Cost of new machine: £400 000.

Using the information in Table 1, calculate the average rate of return. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $(£100\,000 / £400\,000) \times 100$ (1). Answer: 25% (1). Award full marks for correct numerical answer without working.

Mind Candy case study (Table 2 financial info).

Using the information in Table 2, calculate, to 2 decimal places, Mind Candy's gross profit margin. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $(£22\,190\,385 / £30\,560\,692) \times 100$ (1). Answer: 72.61% (1). Award full marks for correct numerical answer without working.

Figure 4 shows information about the change in Iceland's sales revenue between 2013 and 2017. Percentage change in sales revenue: 2013: 1.1; 2014: 2.7; 2015: -4.4; 2016: -2.7; 2017: 2.0.

Using the information in Figure 4, identify the year with the smallest percentage change in Iceland's sales revenue.

▼ Mark scheme

2013

State one impact to Tesla of continuing to make a loss.

▼ Mark scheme

Award 1 mark for stating one impact to Tesla if it continues to make a loss.

It will not be able to build the new factory in Shanghai (1).

Its net cash flow will fall below \$2.4 billion (1).

It may not be able to reduce the price of a car to \$35 000 (1).

Accept any other appropriate response. Do not accept impacts that are not in the context of Tesla. For example, making staff redundant.

Figure 6 shows the ASOS share price over time, with the y-axis showing share price in pence (1000-8000) and the x-axis showing time from January 2015 to January 2019. The share price rose from around 2000 pence in early 2015 to a peak of around 7500 pence in early 2018, before falling.

Using the information in Figure 6, identify the year when the ASOS share price was higher than £70.

▼ Mark scheme

2018

Table 1 contains information about a machine that a business is considering purchasing. Total profit from the machine: £500 000; Length of time the business will own the machine: 5 years; Cost of the machine: £200 000.

Using the information in Table 1, calculate the average rate of return for the machine.

▼ Mark scheme

Substitution into correct formula: $((£500\,000 \div 5) \div £200\,000) \times 100$ (1). Answer: 50% (1). Award full marks for correct numerical answer without working.

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019. Odeon: 21.9% (2019), 24.3% (2016); Showcase: 6.0% (2019), 5.6% (2016); Vue: 20.0% (2019), 20.4% (2016); Cineworld: 23.0% (2019), 25.4% (2016).

Using the information in Figure 4, identify the only cinema chain that increased its market share in 2019.

▼ Mark scheme

Showcase.